

that it was worth, by itself, the then current price of Motorola shares so that, in effect, a buyer of the stock was getting all the other divisions for nothing.

With this opinion about Motorola existing in some highly sophisticated places, what may be judged to have induced such eager buying on the Matsushita news? These Motorola enthusiasts had long known that many elements of the financial community were inclined to look with disfavor on the stock because of its television-manufacturing image. Most of the financial community, upon hearing "Motorola." first thought of television and secondly of semiconductors. At the time of the Matsushita announcement, Standard & Poor's stock guide, in the small amount of space available for listing the principal business of each company, described Motorola as "Radio & T.V.: semiconductors." all of which, though not inaccurate, was misleading in that it suggested a different sort of company from what, in fact, Motorola really was and completely overlooked the very important Communications Division, which at the time comprised almost half of the company.

Some of those buying Motorola on the Matsushita news undoubtedly rushed in merely because the news was good and therefore could be expected to send the stock up. But there is reason to ascribe considerable buying to the belief that the financial community's appraisal of the company had been considerably less favorable than the facts warranted. The historical record was such that in the television business Motorola was regarded more as an "also ran" than as an industry leader such as Zenith. With the television operations no longer blurring investors' vision of what else was there, a new image with a very much higher price-earnings ratio would arise.

Were those who rushed in to pay these higher prices for Motorola wise in so doing? Not entirely. In subsequent weeks the shares lost the immediate gain so that a degree of patience would have paid. In down-ward markets, a change for the worse in the financial community's image of a company gets accepted far more quickly than a change for the better. Just the opposite is true in rising markets. Unfortunately for those who rushed in to buy Motorola on this news, the immediately ensuing weeks saw a sharp upturn in short-term interest rates which produced a downward trend in the general market and accentuated the widespread bear-market psychology then prevailing.